C. 5.9 percent.

Solution:

B is correct. The real rate of return for equities is calculated as follows:

$(1 + 0.080)/(1 + 0.0210) - 1 = 5.8\%$.

2. The real rate of return for corporate bonds is *closest* to:

A. 4.3 percent.

B. 4.4 percent.

C. 4.5 percent.

Solution:

A is correct. The real rate of return for corporate bonds is calculated as follows:

$(1 + 0.065)/(1 + 0.0210) - 1 = 4.3\%$.

3. The risk premium for equities is closest to:

A. 5.4 percent.

B. 5.5 percent.

C. 5.6 percent.

Solution:

A is correct. The risk premium for equities is calculated as follows:

$(1 + 0.080)/(1 + 0.0250) - 1 = 5.4\%$.

4. The risk premium for corporate bonds is *closest* to:

A. 3.5 percent.

B. 3.9 percent.

C. 4.0 percent.

Solution:

B is correct. The risk premium for corporate bonds is calculated as follows:

$(1 + 0.0650)/(1 + 0.0250) - 1 = 3.9\%$.